Improving Customer Repeat Rate(CRR) by 5% for Urban Company

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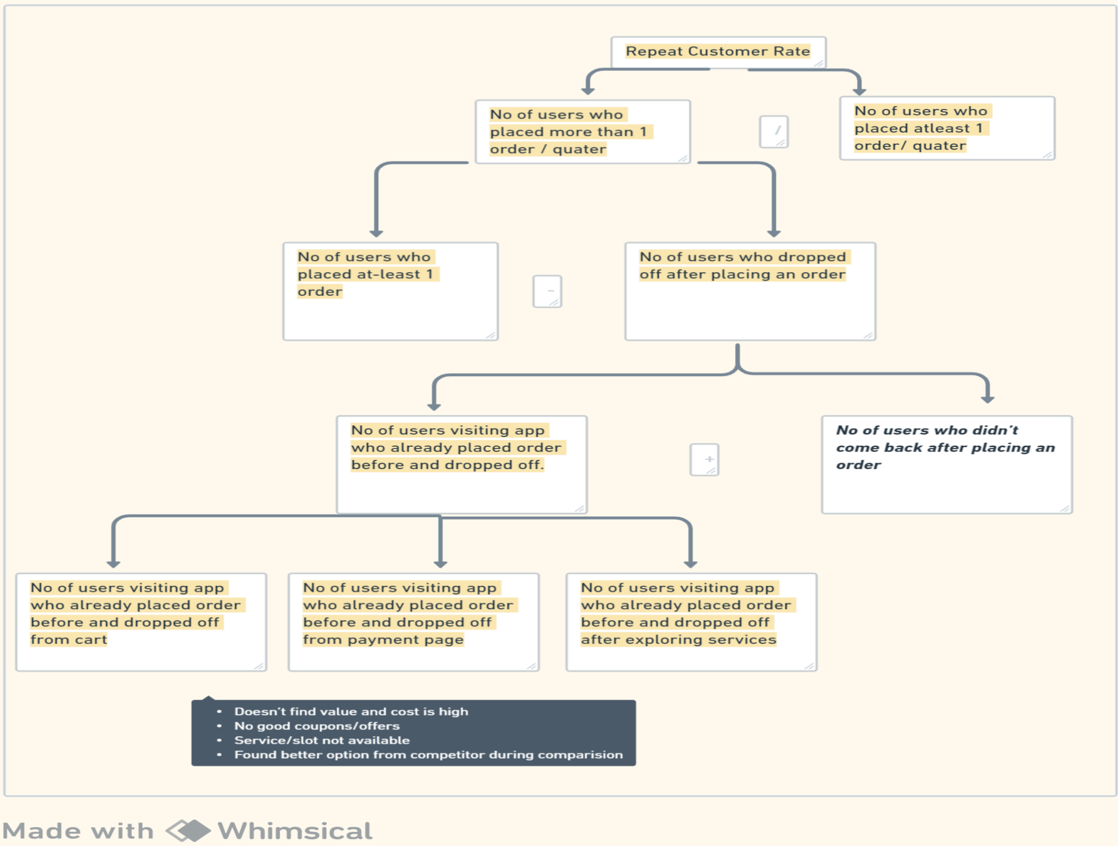
Context

Urban Company is a marketplace operating in Dubai, Abu Dhabi, Sydney, Singapore, India. Urban Company make money through
a. Commission
b. Subscriptions
c. Advertisements
d. Product Sales
e.Partnerships & Collaborations

Urban Company has an iOS,Android app and website. The core user problem the platform solves is connecting service seekers with service providers. In Urban Company, you can hire premium service professionals for household services. Their servicemen include a wide range of professionals from beauticians and masseurs to sofa cleaners, carpenters, and more. You can call it a mobile marketplace for local services.

Goal

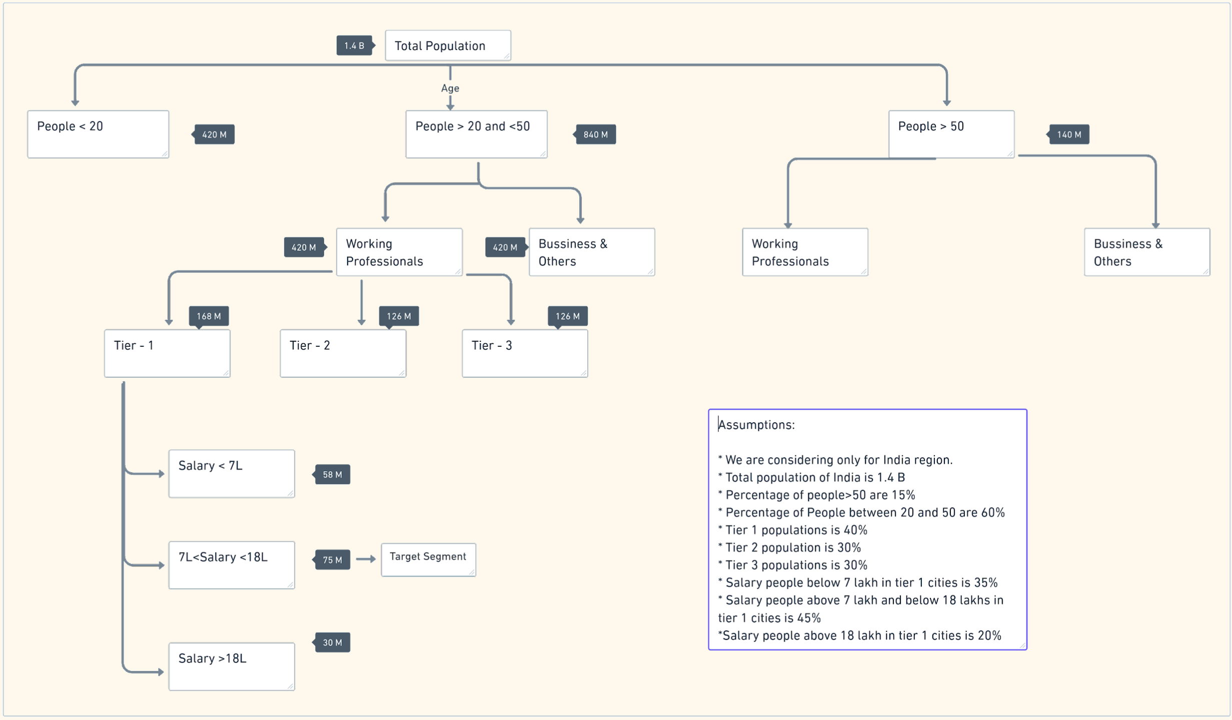
Improve customer repeat rate by 5% thereby increasing the number of loyal customers to the company by increasing the repeat purchases by 7%.



Problem Space

Segmentation

[Breakdown]()



☐ Customers

➔ Working Professionals
- Tier 1 - Salary above 7L and below 18L (Target)
- Tier 2
- Tier 3

➔ Elder citizens who can’t find local service and can’t do household work.

☐ Vendors

➔ Vendors who want to expand their business.

➔ Self employed people who want to have better reach and earn extra income.

➔ Part time job people who want to earn extra income.

User Persona

Rahul is a 27 years old working professional living in Bangalore. He lives in a 1BHK apartment with his elderly parents and is a bachelor. As his parents are old and can't do household work and he doesn't find time to maintain an apartment so he hires a budget friendly service online for various services. He is mostly occupied with work during weekdays and he likes to spend weekends by hanging out with his friends, watching movies and parties and plays basketball everyday in the evening or whenever he finds leisure time.

Characteristics

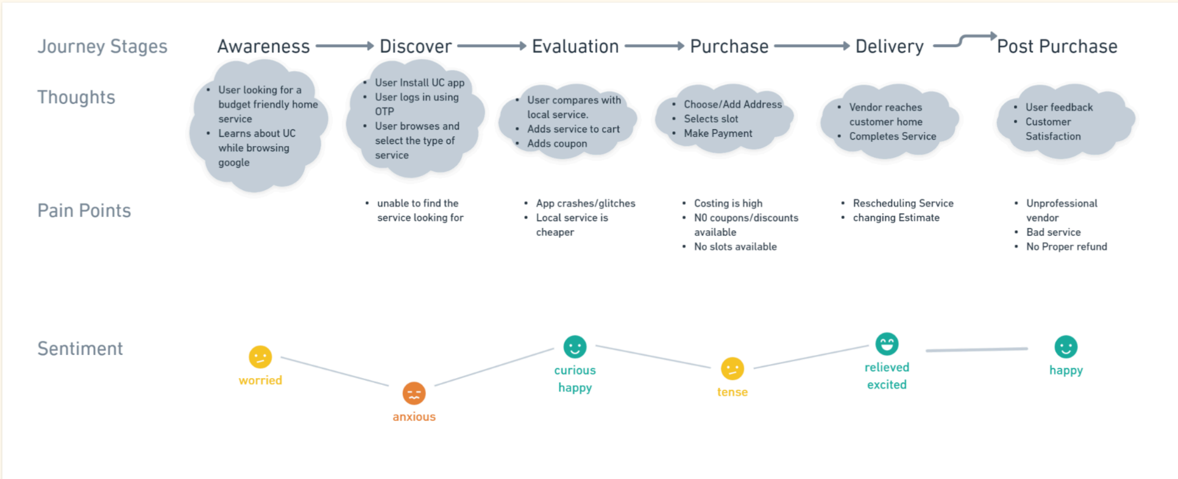
Name: Rahul
Place: Bangalore
Age: 27
Gender: Male
Marital Status: Unmarried
Occupation: Software Engineer
Social Media: Facebook, Instagram, Twitter
Mobile Platform: Android
Hobbies: Watching movies,playing basketball

Behaviour

- Always looks for budget friendly services
- Pays bills online
- Tech enthusiast
- Spends 30% of his income for monthly expenses

Needs

- Need friendly and hassle free home services
- Need value for money services
- Need better deals and coupons



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User Problems

By doing customer research through online review platforms like mouthshut.com etc below are the user problems after availing their first service with Urban Company.

Adding only those pain points which are relevant to the goal

- Post Purchase
- Unprofessional vendors/bad service at customer home.
- Bad customer support.
- No proper refund/coupons provided.

- Delivery
- Changing estimate after the service/before the service at customer home.
- Rescheduling the service due to unavailability without informing customers.

- Purchase
- App crashes and glitches leading to bad app experience.
- The cost is high.
- No slots available at convenience time.

Prioritisation of User Problems

User problems are prioritised based on frequency(how frequent is the problem occuring), impact(level of impact) and density(number of users getting impacted).

Problems are marked between 1 to 3 for each of the above criteria where
1 - high
2 - medium
3- low

Problem	Frequency	Impact	Density
Unprofessional vendors/bad service	2	1	2
Bad customer support.	2	1	3
Changing estimate	1	1	2
Rescheduling the service	3	2	3
App crashes and glitches	3	1	3
No proper refund/coupons	3	2	3
Cost is high	3	3	3
No slots available	3	1	2

Based on the above table we can prioritise 2 user problems:

Post Purchase

- Unprofessional vendors/bad service at customer home.
    - This has a very high impact which can bring negativity to the reputation of the company and has very high word of mouth.

Delivery

- Changing estimate after the service/before the service at customer home.
    - This can bring down the trust in the company and lead to ambiguity.

Root-Cause-Analysis

- Unprofessional vendors/bad service at customer home.
  - Vendor may be frustrated due to too many bookings in a day
  - No proper training given to the vendor
  - The service Problem may not be properly communicated with the vendor
- Changing estimate after the service/before the service at customer home.
  - The commission charged by the company may be higher and vendor is not satisfied
  - Providing low estimate on app to acquire booking
  - Vendors asking for tip thinking it as a right
  - Competitors may be charging less commission from vendors

Impact

Solving the above 2 problems:

For Business

We can increase the customer trust in the company and convert the customer into a repeat customer increasing the customer lifetime and value. Therefore, customer satisfaction increases which inturn increase the NPS, customer repeat rate and business/revenue for the company.

For User

We provide friendly, hassle free and value for money services which increase customer satisfaction CSAT.

Competitive Research

Metric	Urban Company	HouseJoy
Type	Own	Direct Competitor
Founded	2014	2014
Features	Beauty Services Grooming Services Repair Services Housekeeping Services	Beauty Services Grooming Services Repair Services Housekeeping Services

Business Model	Fixed charge Commision Lead generation Advertisement	Commission
Locations	India,USA,UAE,Singapore, South Africa, Saudi Arabia	India
Customer Base	5 Million	1 Million
Market Share	4370 Million	1360 Million
Customer Satisfaction	NPS:83	NPS:38

Solutions

HMW(How Might We) Framework

- How might we educate vendors with proper training?
- How might we properly communicate service problem to vendor?
- How might we decrease the commission charged to vendors?
- How might we provide accurate estimate to customer?
- How might we stop vendors from asking tip?
- How might we charge less commission than competitors?

Ideating The Solutions

Post Purchase

- Unprofessional vendors/bad service at customer home.

1.Providing Break time along with travel time to vendors between each service
2.Training vendors during onboarding on how to show empathy towards customer
3.Evaluating vendor by taking interview before onboarding
4.Maintaining score for vendors by taking feedback from customers.

Delivery

- Changing estimate after the service/before the service at customer home.

1.Asking customers to upload images/videos of the problem.
2.Once the service is booked, ask the vendor to contact the customer to understand more about the issue/problem.
3.re iterate the commission charged by comparing with the competitors and market.
4.Taking fixed amount for each service from vendor instead of commission.
5.Talk to vendors and communicate in advance to customers if there might be any increase in estimate.
6.Develop AI algorithms to provide accurate estimates.
7.Provide tip option on App
8.Sending a message to a customer after service if they wish to pay a tip.

Solutions prioritisation

RICE Framework

Reach: This is an estimation of the number of people or users who will be affected by the feature in a time period. Higher reach implies that the project will benefit more users. Many people assign this score by estimating the number of users affected by the feature over a specific period (usually a month or quarter).

Impact: This is an estimate of how much the project will contribute to the user's satisfaction, retention, or revenue. Impact is sometimes scored on the following scale: minimal (0.25), low (0.5), medium (1), high (2), or massive (3).

Confidence: Confidence is a measure of how certain you are about the estimates for Reach, Impact, and Effort, and is usually expressed as a percentage. For example, you could use 100% to indicate high, 80% for medium, and 50% for low confidence.

Effort: This is an estimation of the total amount of work required to complete the project, usually measured in person-months or person-hours. Lower effort implies that the project can be completed more quickly or with fewer resources.

RICE Score = (Reach * Impact * Confidence) / Effort

Post Purchase

- Unprofessional vendors/bad service at customer home.

Solution	Reach	Impact	Confidence	Effort	Score
Providing Break time along with travel time to vendors between each service	90	2	80	3	4800
Training vendors during onboarding on how to show empathy towards customer	90	2	60	5	2160
Evaluating vendor by taking interview before onboarding	80	3	50	10	1200
Maintaining score for vendors by taking feedback from customers.	90	3	90	3	8100

Delivery

- Changing estimate after the service/before the service at customer home.

Solution	Reach	Impact	Confidence	Effort	Score
Asking customers to upload images/videos of the problem.	50	2	70	5	1400
Once the service is booked, ask the vendor to contact the customer	80	3	90	5	4320

to understand more about the issue/problem.					
re iterate the commission charged by comparing with the competitors and market.	50	1	60	1	3000
Taking a fixed amount for each service from the vendor instead of commission.	50	2	50	1	5000
Talk to vendors and communicate in advance to customers if there might be any increase in estimate.	90	3	90	3	8100
Develop AI algorithms to provide accurate estimates.	80	2	90	3	4800
Provide tip option on App	70	1	80	1	5600
Sending a message to a customer after service if they wish to pay a tip.	80	1	90	2	3600

Solutions identified based on RICE framework

Post Purchase

- Unprofessional vendors/bad service at customer home.

1. Providing Break time along with travel time to vendors between each service
2. Maintaining score for vendors by taking feedback from customers.

Delivery

- Changing estimate after the service/before the service at customer home.

1. Once the service is booked, ask the vendor to contact the customer to understand more about the issue/problem.
2. Taking a fixed amount for each service from the vendor instead of commission.
3. Talk to vendors and communicate in advance to customers if there might be any increase in estimate.
4. Provide tip option on App

Implementation Details

Visualising solution

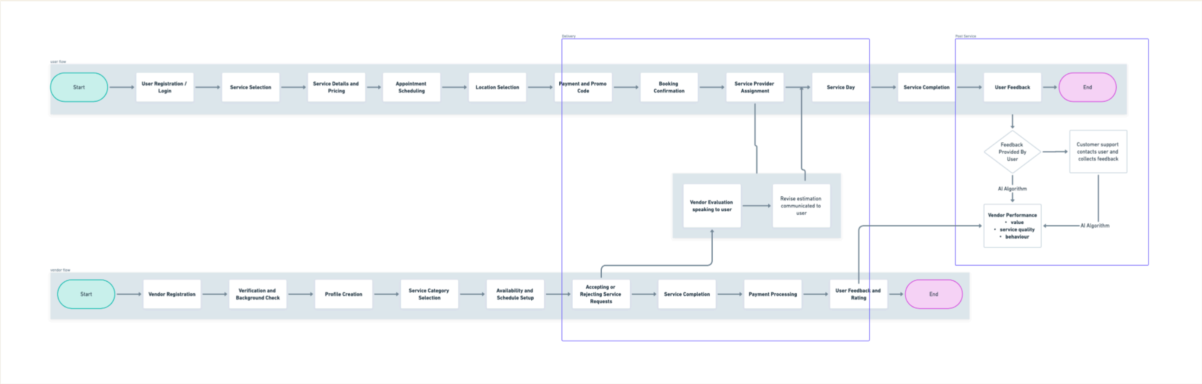
- **Post Purchase**

Maintaining score for vendors by taking feedback from customers.

- **Delivery**

Once the service is booked, ask the vendor to contact the customer to understand more about the issue/problem and communicate in advance to customers if there might be any increase in estimate.

[User Flow & Vendor Flow]



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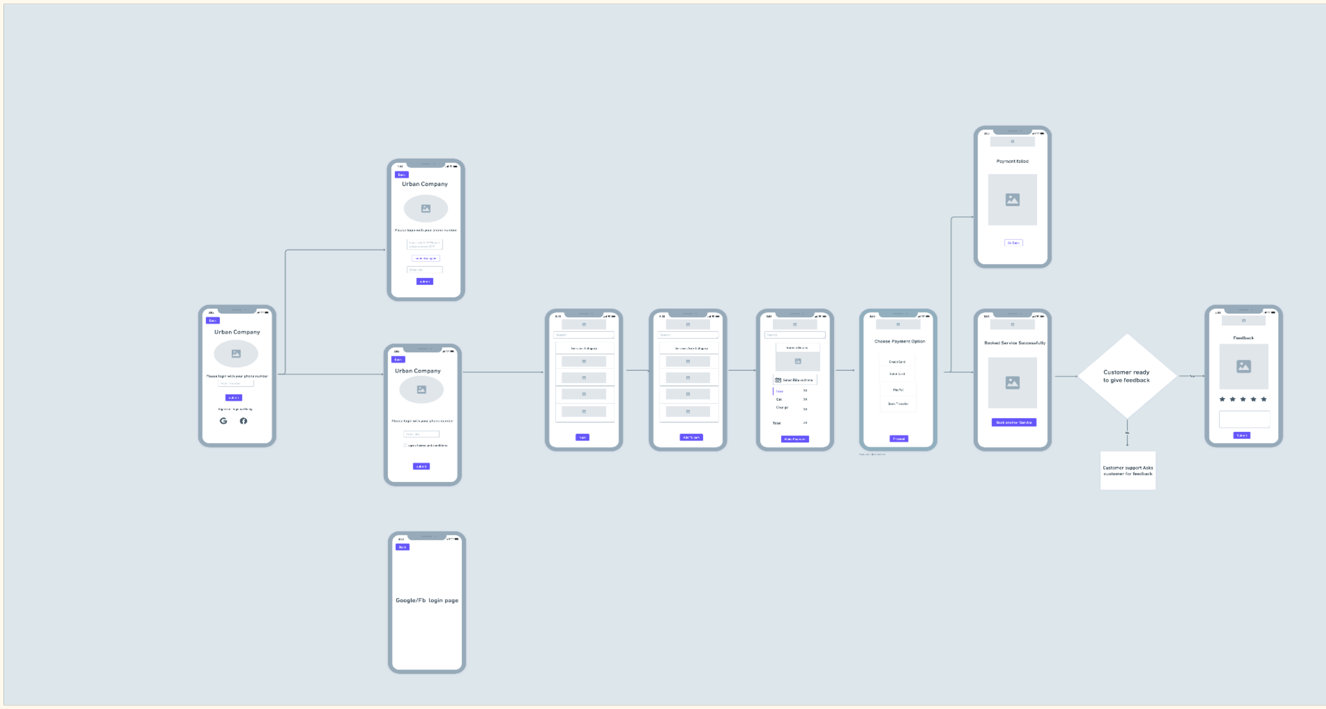
User Wireframe



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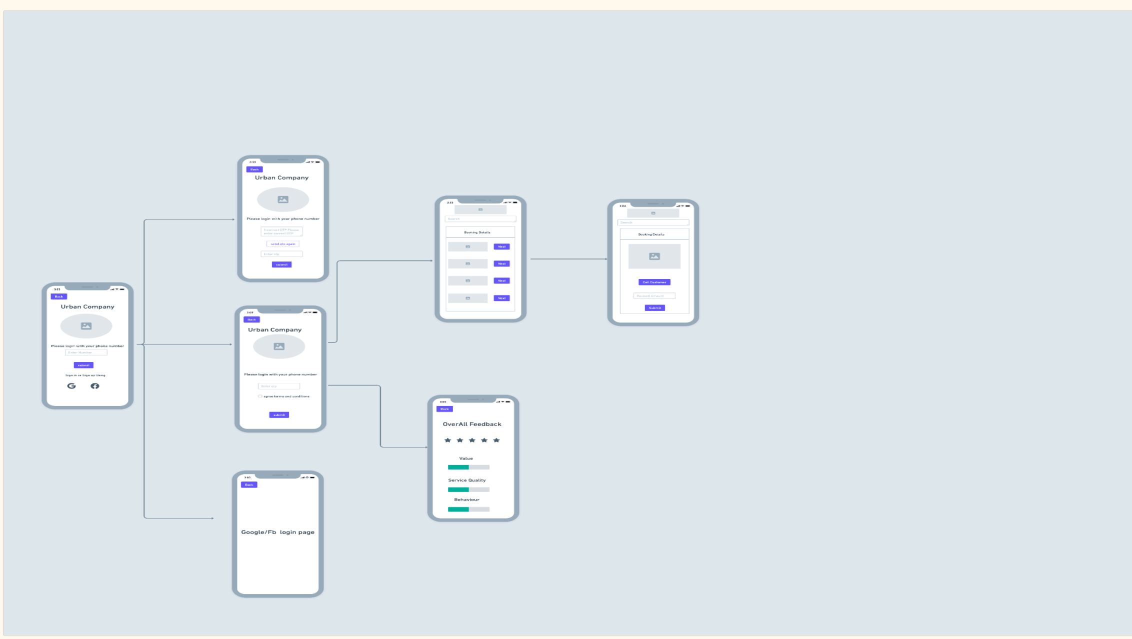
Vendor Wireframe



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Product Functionality

- ### Post Purchase

Maintaining score for vendors by taking feedback from customers.

1. After the service is completed the customer is promoted to give feedback on the service.
2. If the user doesn't provide feedback, contact the customer to get feedback.
3. Also collect the ratings for the service as above for every service.
4. Develop an AI algorithm which turns feedback into score for three important components: value, service quality and behaviour.
5. The rating and score for each vendor are displayed to the vendor on the App.

User Story 1:
Description: As a customer, I want to provide feedback on the completed service, So that I can share my experience and help improve the overall quality.

Acceptance Criteria:

- After the service is marked as completed, the customer should receive a notification or prompt to provide feedback.
- The feedback form should be easily accessible and user-friendly.
- The feedback form should include relevant fields such as rating, comments, and any specific areas for improvement.
- The customer should have the option to submit the feedback or skip it for later.
- Once feedback is submitted, the system should acknowledge the submission, and the feedback data should be stored for analysis.

Definition of Done:

- Code for the feedback prompt/notification is implemented.
- Feedback form is designed and integrated.
- Submitted feedback is stored in the database.
- The system acknowledges feedback submission.
- Testing is performed to ensure the functionality works as expected.

User Story 2:
Description: As a system user, I want an AI algorithm to analyse customer feedback and generate scores for three key components: value, service quality, and behaviour, So that we can quantitatively measure and improve our services based on customer sentiments.

Acceptance Criteria:
- The system should be able to receive customer feedback in the form of text for three components: value, service quality, and behaviour.
- The AI algorithm should perform sentiment analysis on each feedback component and generate a sentiment polarity score (-1 to 1).
- The sentiment polarity scores should be normalised to a scale of 0 to 10 for each component.
- The system should store the generated scores along with the corresponding feedback data.
- The scores should be accessible through a designated interface or API for further analysis and reporting.
- The algorithm should be capable of handling different languages and nuances in customer feedback.
- The algorithm's accuracy and performance should be validated through testing with a diverse set of feedback samples.
- Documentation should be provided on how to interpret and utilise the generated scores.

Definition of Done:
- AI algorithm code is implemented for sentiment analysis and scoring.
- The system is updated to capture and store feedback data and generated scores.
- An interface or API is developed to access the generated scores.
- The algorithm is tested for accuracy and performance with various feedback samples.
- Documentation is created and made available for reference.

User Story 3:
Description: As a vendor, I want to view my overall rating and individual scores for key components (value, service quality, behaviour) on the app, So that I can understand customer sentiments and identify areas for improvement.

Acceptance Criteria:

- The app should have a dedicated section or page where vendors can view their overall rating and individual scores.

- The overall rating should be prominently displayed, representing the aggregate sentiment from customer feedback.
- Individual scores for key components (value, service quality, behavior) should be presented along with the corresponding feedback data.
- The displayed scores should be updated in real-time based on new customer feedback.
- Vendors should have the ability to view historical ratings and scores to track changes over time.
- The user interface should be intuitive and user-friendly, providing a clear representation of the feedback data.

Definition of Done:

- The app interface is updated to include a section for vendor ratings and scores.
- The overall rating and individual scores are dynamically fetched and displayed in real-time.
- Historical data is accessible to vendors for tracking changes over time.
- The UI is tested for usability and clarity.
- The system is tested to ensure that ratings and scores are accurately updated with new feedback.
- Documentation is provided for vendors on how to interpret and use the displayed ratings and scores.

Prioritisation of User Stories

- ## Delivery

Once the service is booked, ask the vendor to contact the customer to understand more about the issue/problem and communicate in advance to customers if there might be any increase in estimate.

1. Once the service is booked and the vendor is assigned for the service, notify the vendor.
2. Customer and service details are provided to the vendor on the app.
3. Vendors reach out to customers to understand more about the service.
4. Vendors shouldn't be able to move forward without speaking to customers on service details.
5. After speaking to the customer, the vendor can update the estimation cost on the app.
6. If the change in estimation provided by the vendor is out of scope, there should be an logic to check it and shouldn't allow vendor to submit
7. If there is any change in the estimation, customer is notified via push notification
8. Vendors shouldn't be able to update estimates without reaching out to customers

User Story 1: Service Initiation and Vendor Notification

Description: As a user, I want the service booking process to initiate vendor communication promptly.

Acceptance Criteria:
- When a service is booked, the assigned vendor is promptly notified.
- Vendor receives relevant customer and service details on the app.
- The vendor is prevented from advancing further until reaching out to the customer for service details.

Definition of Done:
- Vendor receives a notification upon service booking.
- Vendor app displays accurate customer and service information.
- System restricts vendor progress until communication with the customer occurs.

User Story 2: Estimation Process and Validation

Description: As a vendor, I want a streamlined process for updating and validating service cost estimations.

Acceptance Criteria:

- Vendors can update the estimation cost after speaking with the customer.
- A logical check ensures that estimation changes submitted by the vendor are within scope.
- If an estimation change is out of scope, the system prevents the vendor from submitting the update.

Definition of Done:

- Vendors can successfully update service estimations on the app.
- Logical check validates estimation changes.
- System prevents estimation updates that are out of scope.

User Story 3: Customer Notification and Communication Control

Description:As a customer, I want to be informed of any changes in the estimation and maintain control over vendor communication.

Acceptance Criteria:

- Customers receive push notifications for any changes in the estimation provided by the vendor.
- Vendors are restricted from updating estimates without first reaching out to the customer.
- The customer is adequately informed throughout the estimation and service process.

Definition of Done:

- Customers receive timely push notifications for estimation changes.
- Vendors are restricted from updating estimates without prior customer communication.
- Customers are kept informed at key stages of the service process.

Prioritisation of User Stories

Edge Cases

- **Post Purchase**

Maintaining score for vendors by taking feedback from customers.

1. If the user doesn’t provide feedback and doesn’t respond to calls, try to reach out to the customer again if you have no luck. Take the feedback as good as customers who are satisfied with service don't provide feedback.

- **Delivery**

Once the service is booked, ask the vendor to contact the customer to understand more about the issue/problem and communicate in advance to customers if there might be any increase in estimate.

1. If the customer cancels the service after the change in estimation, customer support should contact the user and provide insights on why estimation was changed.

Metrics

Success Metrics (NSM)

- To track the above solutions we can track below metrics as a sign of reaching our goal which is to increase the customer repeat rate.

1. NPS score
2. CSAT score
3. Decrease in tickets

Counter Metrics

1. Bookings cancelled after placing order due to increase in estimate.
2. MAU